

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

HOUSE BILL 4485

By: Townley

AS INTRODUCED

An Act relating to revenue and taxation; mandating the county assessor to use certain valuation method for certain real property to determine the fair cash value; prohibiting the county assessor from considering the value or amount of any federal or state low income housing tax credit when determining fair cash value; requiring the county assessor to establish a formal process; requiring owner of real property to provide county assessor with written notice of certain financing; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2865.1 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. For purposes of ad valorem taxation, any real property that is financed in whole or in part through allocation of the federal low income housing tax credit authorized pursuant to Section 42 of the Internal Revenue Code, 26 U.S.C. § 42, shall be valued for assessment by the county assessor based upon the income-approach method to determine the fair cash value of such property.

1 B. In determining the fair cash value of property described in
2 subsection A of this act, the county assessor shall not consider the
3 value or amount of any federal or state low income housing tax
4 credits as a component of the fair cash value or income attributable
5 to the property.

6 C. The county assessor shall establish a formal process for
7 determining market-derived capitalization rates based on actual
8 project and investor data.

9 D. The owner of the real property described by subsection A
10 shall provide the county assessor with written notice of such
11 financing on or before January 1 of the first year in which the
12 property is subject to assessment following such allocation.

13 SECTION 2. This act shall become effective January 1, 2027.

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